BU433 Case 01 Submission
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1a. Describe some important differences between investor-owned banks and credit unions.

- **Investor-owned banks:**
  - These are owned by private shareholders and investors.
  - Investor-owned banks focus heavily on the bottom line and maximize shareholder returns.
- **Credit Unions:**
  - These are member-owned financial co-operatives where customers are also the owners.
  - Because they are owned by private investors, they don't have to make every decision to maximize financial gains or NPV. The core motive is to serve people and contribute to the well-being of local communities.

1b. What role do values play in each type of organization?

- **Investor-owned banks:**
  - Corporate values are typically aligned with commercial efficiency, market dominance, and shareholder wealth maximization.
  - The primary goal of investor-owned banks is maximizing financial performance, return on equity, and profit margins.
- **Credit Unions:**
  - On the other hand, credit unions have values like co-operation and responsiveness.
  - The system is built on the founding principle of co-operation among co-operatives. Credit unions are small, and so have to rely on a pool of resources and networks.
  - Credit Unions are locally responsive and tailor their services according to the local geography and culture.

2. How do credit unions and Desjardins handle the tradeoffs between local autonomy vs achieving autonomies of scale?

- **Credit Unions:**
  - Credit Unions heavily favor local autonomy over tight coordination, resulting in a highly decentralized and fragmented system.
  - Over time, organic growth and localized mergers created a bifurcated system.
  - Co-operation between certain credit unions may lead to the formation of groups which may not be able to work well with each other.
- **Desjardins:**
  - Desjardins on the other hand have focussed on maximizing efficiency. This means standardizing processes, ensuring top-down coordination, and creating a synchronized cultural shift across the entire organization.
  - As said in the class, you cannot afford to provide customized service to any client, or else efficiency and autonomies of scale are very hard to achieve.

3. Which of the three options would you recommend that credit unions choose?
    - **‘Merge with partnership’** is the best possible option for credit unions to choose. Here’s why:
        - **Governance:** A 50/50 partnership establishes a structure in which neither the credit unions nor Desjardins can unilaterally dominate.
        - **Fragmentation:** This solution would eliminate the existing fragmentation because the partnership would merge Credential, Qtrade, and NEI into a single wealth management system.
        - **Credit Union & Member benefits:** A partnership would provide member credit unions seamless access to Qtrade and NEI without requiring them to build these technologies from scratch. This would also be an upgrade for the members of each credit union.
        - **Financial incentives:** Credit Unions will be pooling their strengths with Desjardins leading to profits from mutual sales.
        - **Cooperative Leadership:** Desjardins explicitly wants a strong, organized national co-operative system to effectively lobby the federal government on financial legislation. A joint partnership capitalizes on this unique leadership alignment.
    - However, this is not an easy solution to implement because reaching a compromise where all the members as well as Desjardins are happy is a difficult and long process.
    - Here’s why the other alternatives would not work:
        - **Do Nothing**
            - Credit unions get to keep control and maximize autonomy.
            - However, this means they have the existing capital, which makes it difficult to grow.
        - **Merge with Control**
            - This is an ideal solution but difficult to implement.
            - It would take a lot of money to retain control, which is not realistic for credit unions.
            - Moreover, there would be competition from other credit unions for control.
        - **Merge without Control**
            - The major disadvantage is that this arrangement where credit unions and co-operators join forces would be a problem for Desjardins.
            - Another disadvantage for member credit unions is the lack of control.